

PERSONNEL MANAGEMENT

Unit-IV: Performance Appraisal, Job Evaluation, and Remuneration

Comprehensive Study Notes

UNIT-IV: PERFORMANCE APPRAISAL, JOB EVALUATION, AND REMUNERATION

1. What is Performance Appraisal?

Performance Appraisal is the systematic evaluation of an employee's performance, potential, and development needs. It is a periodic review of how well an employee is performing their job duties.

Definitions

Edwin Flippo: "Performance appraisal is the process of evaluating the performance and qualifications of the employees in terms of the requirements of the job."

Dale Yoder: "Performance appraisal is a systematic way of reviewing and assessing the performance of an employee during a given period and planning for his future."

Key Characteristics of Performance Appraisal

- **Systematic Process:** Follows a structured and formal approach
- **Periodic Review:** Conducted at regular intervals (e.g., annually, quarterly)
- **Performance Measurement:** Evaluates actual performance against set standards
- **Documentation:** Results are recorded and maintained systematically
- **Feedback Mechanism:** Provides feedback for improvement and development

2. Objectives of Performance Appraisal

2.1 Organizational vs Individual Objectives

Organizational Objectives	Individual Objectives
Productivity Improvement	Career Development
Quality Improvement	Skill Enhancement
Cost Reduction	Promotion Decisions
Better Decision Making	Training Needs Identification
Succession Planning	Feedback and Guidance

2.2 Detailed Objectives

Objective	Description
Promotion Decisions	Identifying employees suitable for promotion based on performance
Training Needs	Identifying skill gaps and training requirements
Salary Decisions	Determining salary increments, bonuses, and merit pay
Transfer Decisions	Identifying employees for transfer to suitable roles
Succession Planning	Identifying and preparing future leaders
Feedback and Guidance	Providing constructive performance feedback
Goal Setting	Setting future performance goals and targets
Disciplinary Action	Taking appropriate disciplinary action if needed

3. Appraisal Methods

3.1 Classification of Appraisal Methods

Traditional Methods	Modern Methods
Rating Scales	Management by Objectives (MBO)
Check List Method	360-Degree Feedback
Forced Choice Method	BARS (Behaviorally Anchored Rating Scales)
Critical Incident Method	Assessment Centres
Field Review Method	Human Resource Accounting (HRA)
Ranking Method	
Paired Comparison	
Grading Method	
Graphic Rating Scale	
Forced Distribution	
Essay Method	

3.2 Traditional Methods

3.2.1 Ranking Method

Employees are ranked from best to worst based on overall performance. The simplest method but becomes difficult with large groups.

- **Simple Ranking:** Employees are arranged in order of merit
- **Alternation Ranking:** Best and worst are selected, then next best and next worst, and so on

3.2.2 Paired Comparison Method

Each employee is compared with every other employee in pairs. The employee with the most positive comparisons is ranked highest.

3.2.3 Grading Method

Employees are classified into predefined grade categories such as A (Excellent), B (Good), C (Average), D (Below Average), E (Poor).

3.2.4 Check List Method

A list of statements about employee behavior is provided, and the appraiser checks those that apply to the employee.

3.2.5 Graphic Rating Scale

Employees are evaluated on various traits (e.g., quality, dependability, attitude) using a numerical scale (e.g., 1–5).

Rating	Description
5	Outstanding
4	Above Average
3	Average
2	Below Average
1	Poor

3.2.6 Forced Distribution Method

Employees are distributed across performance categories following a bell curve (e.g., 10% top performers, 20% above average, 40% average, 20% below average, 10% poor).

3.2.7 Critical Incident Method

Significant incidents of employee behavior (both positive and negative) are recorded throughout the appraisal period.

- **Example (Positive):** "Resolved a major client complaint successfully"

- **Example (Negative):** "Missed an important deadline"

3.2.8 Essay Method

The appraiser writes a descriptive narrative about the employee's performance, strengths, weaknesses, and potential.

3.2.9 Field Review Method

A representative from HR interviews supervisors and collects information about employee performance for evaluation.

3.3 Modern Methods

3.3.1 Management by Objectives (MBO)

Employees and managers jointly set specific, measurable objectives, and performance is evaluated based on the achievement of those objectives.

Step	Description
1	Set organizational objectives and goals
2	Set individual objectives aligned with organizational goals
3	Monitor performance and progress regularly
4	Evaluate achievement of set objectives
5	Provide feedback and set new objectives

3.3.2 360-Degree Feedback

Performance feedback is collected from multiple sources including supervisors, peers, subordinates, self, and even external stakeholders (customers). This provides a comprehensive and balanced view of employee performance.

- **Sources:** Manager, Peers, Subordinates, Self, Customers
- **Advantages:** Multiple perspectives, comprehensive, reduces bias
- **Disadvantages:** Complex to administer, time-consuming, potential for conflicting feedback

3.3.3 BARS (Behaviorally Anchored Rating Scales)

Rating scales that link specific behaviors to numerical performance levels for each performance dimension.

Performance Dimension	Rating	Behavior
Quality	5	Produces error-free work consistently
Quality	3	Produces acceptable work with minor errors

Quality	1	Produces work with frequent errors
----------------	---	------------------------------------

3.3.4 Assessment Centre

A centralized facility where employees participate in a variety of exercises (group discussions, presentations, in-basket exercises) assessed by trained evaluators to identify potential for future roles.

3.3.5 Human Resource Accounting (HRA)

A method that attempts to assign monetary value to employee performance and potential, treating human resources as organizational assets.

3.4 Comparison of Appraisal Methods

Method	Advantages	Disadvantages
Rating Scales	Simple, standardized, quick evaluation	Subjective, halo effect, central tendency bias
Ranking	Simple, easy to understand	Difficult with large groups, no absolute standards
Critical Incident	Behavior-focused, specific examples	Time-consuming, may miss overall performance
MBO	Goal-oriented, participative, measurable	Time-consuming, may focus only on quantifiable goals
360-Degree	Multiple perspectives, comprehensive	Complex, time-consuming, potential bias
BARS	Objective, behavior-based, specific	Difficult and expensive to develop

4. Job Evaluation

4.1 What is Job Evaluation?

Job Evaluation is the systematic process of determining the relative worth of jobs within an organization to establish fair and equitable pay structures.

Gary Dessler: "Job evaluation is the process of analyzing and assessing the value of different jobs in an organization to determine salary structure."

4.2 Objectives of Job Evaluation

Objective	Description
-----------	-------------

Fair Compensation	Ensure fair and equitable pay for all jobs
Job Hierarchy	Establish a logical hierarchy of jobs
Pay Structure	Create a rational and transparent pay structure
Internal Equity	Ensure equal pay for work of equal value
External Equity	Ensure pay is competitive with the external market
Cost Control	Control labor costs through structured pay grades
Employee Motivation	Motivate employees through perceived fairness

4.3 Methods of Job Evaluation

Non-Quantitative Methods	Quantitative Methods
Ranking Method	Point Method
Classification Method (Job Grading)	Factor Comparison Method
	Hay System

4.3.1 Non-Quantitative Methods

Method	Description
Ranking Method	Jobs are ranked from highest to lowest based on overall worth or importance
Classification Method (Job Grading)	Jobs are classified into predefined grades or classes based on job descriptions

4.3.2 Quantitative Methods

Method	Description
Point Method	Jobs are evaluated by assigning points to specific factors (skill, effort, responsibility, working conditions). Total points determine job worth.
Factor Comparison Method	Jobs are compared based on key factors (mental requirements, physical requirements, skills, responsibility, working conditions) using a monetary scale
Hay System	A complex point method evaluating jobs based on Know-How, Problem Solving, and Accountability

4.4 Job Evaluation Process

1. **Job Analysis:** Information about each job is collected and documented

2. **Job Description:** Detailed job descriptions, duties, and responsibilities are prepared
3. **Selection of Method:** An appropriate job evaluation method is chosen
4. **Evaluation:** Jobs are evaluated using the selected method
5. **Job Grading:** Jobs are assigned to grade levels based on evaluation
6. **Pay Structure:** Salary ranges are determined for each grade level

5. Employee Remuneration

5.1 What is Employee Remuneration?

Employee Remuneration refers to all the financial and non-financial rewards that employees receive for their work and contribution to the organization.

Armstrong: "Remuneration is the compensation received by an employee for his/her contribution to the organization."

5.2 Components of Remuneration

5.2.1 Direct Compensation (Cash Payments)

Component	Description
Basic Salary	Fixed monthly payment forming the core of compensation
Dearness Allowance (DA)	Cost of living adjustment to offset inflation
House Rent Allowance (HRA)	Allowance for housing and accommodation
Special Allowance	Additional fixed allowance provided to employees
Bonus	Annual or performance-based bonus payment
Commission	Percentage of sales for sales personnel

5.2.2 Indirect Compensation (Benefits)

Component	Description
Provident Fund	Retirement savings scheme with employer contribution
Gratuity	Lump sum payment on retirement after long service

Medical Benefits	Health insurance and medical coverage
Insurance	Life and health insurance policies
Leave Benefits	Paid leaves including annual, sick, and casual leave
Transport	Transport facilities or allowances

5.2.3 Non-Monetary Compensation

Component	Description
Recognition	Awards, certificates, and public recognition
Status	Social status, job title, and prestige
Job Satisfaction	Meaningful and fulfilling work
Work Environment	Positive and supportive work culture
Career Growth	Development and advancement opportunities

5.3 Factors Affecting Remuneration

- **Internal Factors:** Job value, performance, seniority, company profitability, company size
- **External Factors:** Labor market conditions, industry standards, cost of living, government regulations, collective bargaining

5.4 Types of Wage Systems

Feature	Time Rate System	Piece Rate System
Basis	Time worked (hourly, daily, monthly)	Units produced
Payment	Fixed amount per time period	Fixed amount per unit
Quality Focus	Encourages quality work	May compromise quality

Productivity	Less incentive for productivity	Strong incentive for productivity
Suitable for	Skilled workers, supervisors, managers	Manual, repetitive, production workers

6. Incentive Plans

6.1 What are Incentive Plans?

Incentive Plans are structured programs that reward employees for achieving specific performance targets or organizational goals, linking rewards directly to performance.

6.2 Types of Incentive Plans

6.2.1 Individual Incentive Plans

Plan	Description
Piece Rate	Payment is based on the number of units produced by the employee
Commission	A percentage of sales is paid to sales personnel
Bonus	Extra payment made for achieving or exceeding targets
Merit Pay	Salary increase based on individual performance rating
Performance Bonus	One-time bonus for meeting specific performance goals

6.2.2 Group Incentive Plans

Plan	Description
Profit Sharing	Employees receive a share of the company's profits
Gain Sharing	Employees share in productivity and cost savings gains
Team Incentives	Rewards are given for team performance achievements
Group Bonuses	Bonuses are paid based on group or departmental targets

6.3 Features of Good Incentive Plans

Feature	Description
Simplicity	Easy to understand and administer
Fairness	Fair and equitable for all employees
Performance-Based	Clearly linked to measurable performance
Timely	Rewards are given promptly after achievement
Motivational	Should genuinely motivate employees
Cost-Effective	Benefits should outweigh the costs
Transparent	Clear and transparent evaluation criteria

6.4 Advantages of Incentive Plans

- Motivates employees to achieve higher performance
- Increases overall productivity and efficiency
- Helps retain talented and high-performing employees
- Aligns individual goals with organizational objectives
- Provides a competitive advantage
- Increases employee job satisfaction

7. Employee Benefits

7.1 What are Employee Benefits?

Employee Benefits are non-wage compensations provided to employees in addition to their regular salary or wages. These benefits form an important part of the total compensation package.

7.2 Types of Employee Benefits

Category	Benefits
Insurance Benefits	Life insurance, health insurance, accident insurance, disability insurance
Retirement Benefits	Pension plans, provident fund, gratuity, superannuation
Medical Benefits	Medical insurance, hospital coverage, regular health checkups, wellness programs
Leave Benefits	Annual leave, sick leave, casual leave, maternity/paternity leave, sabbaticals
Statutory Benefits	Employees' State Insurance (ESI), Employee Provident Fund (EPF), bonus as per law
Voluntary Benefits	Transport facilities, cafeteria, housing loans, education assistance, recreation clubs

7.3 Importance of Employee Benefits

- Attracts and retains talented employees
- Improves employee morale and loyalty
- Provides financial security and well-being
- Ensures compliance with legal requirements
- Enhances employer brand and reputation

- Increases overall job satisfaction
- Promotes work-life balance

Questions

Short Answer Questions (2–5 Marks)

1. What is performance appraisal?
2. What are the objectives of performance appraisal?
3. What are the methods of performance appraisal?
4. What is job evaluation?
5. What are the methods of job evaluation?
6. What is employee remuneration?
7. What are the components of remuneration?
8. What are incentive plans?
9. What are the types of incentive plans?
10. What is 360-degree feedback?

Long Answer Questions (10 Marks)

1. Explain performance appraisal with its objectives and methods.
2. Explain job evaluation with its objectives and methods.
3. Explain employee remuneration and its components.
4. Explain incentive plans and their types.
5. Explain modern methods of performance appraisal.

Objective Questions (1 Mark)

1. Performance appraisal is:
(a) Evaluation of employee performance (b) Recruitment (c) Training (d) None
2. MBO stands for:
(a) Management by Objectives (b) Management by Organization (c) Management by Observation (d) None

3. 360-degree feedback includes evaluation from:
(a) Peers (b) Subordinates (c) Self (d) All
4. Job evaluation determines:
(a) Job worth (b) Job performance (c) Job satisfaction (d) None
5. Direct compensation includes:
(a) Salary (b) PF (c) Insurance (d) All

Quick Revision

Performance Appraisal Methods

TRADITIONAL: Ranking, Paired Comparison, Grading, Checklist, Graphic Rating Scale, Forced Distribution, Critical Incident, Essay, Field Review
MODERN: MBO, 360-Degree Feedback, BARS, Assessment Centre, HRA

Job Evaluation Methods

NON-QUANTITATIVE: Ranking, Classification
QUANTITATIVE: Point Method, Factor Comparison, Hay System

Remuneration Components

DIRECT: Basic Salary, DA, HRA, Bonus, Commission
INDIRECT: PF, Gratuity, Medical, Insurance, Leave
NON-MONETARY: Recognition, Status, Job Satisfaction, Career Growth

Incentive Plans

INDIVIDUAL: Piece Rate, Commission, Bonus, Merit Pay, Performance Bonus
GROUP: Profit Sharing, Gain Sharing, Team Incentives, Group Bonuses

Employee Benefits

Insurance | Pension | PF | Gratuity | Medical | Leave | Statutory | Voluntary

End of Unit-IV Notes